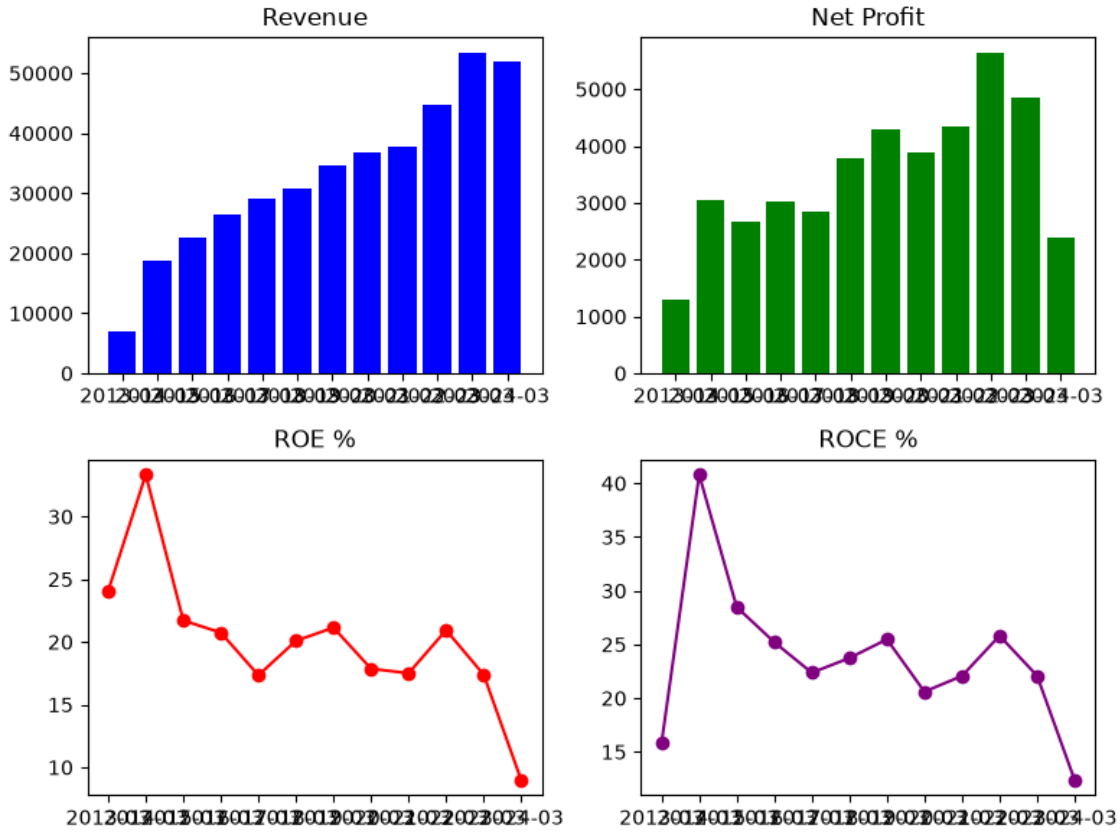
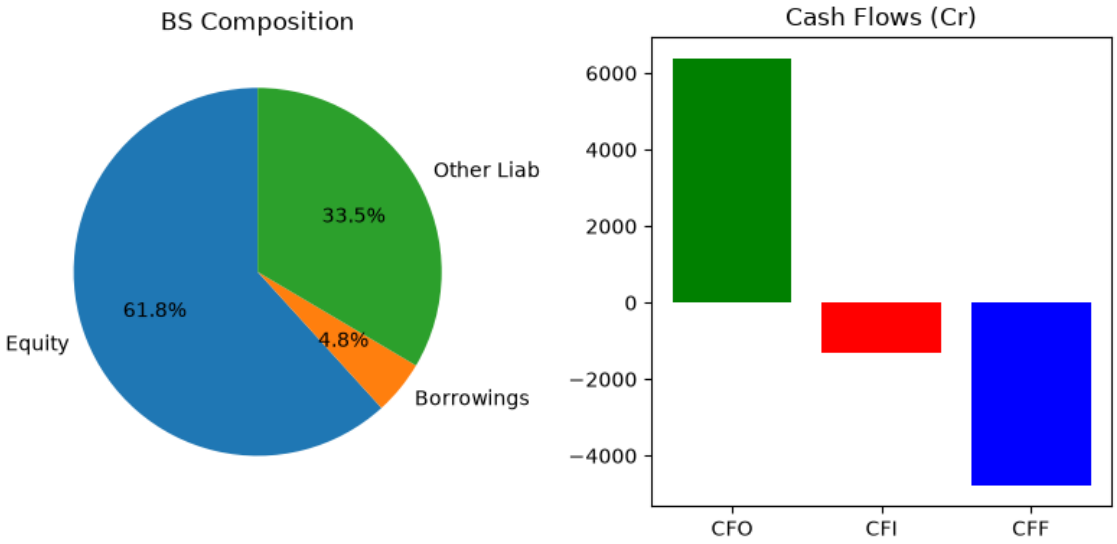
Tech Mahindra Ltd (TECHM)

ROE	8.99%	ROCE	12.38%
D/E	0.10	OPM	8.67%
FCF	5058 Cr	Net Profit Margin	4.61%

Performance Trends



Balance Sheet & Cash Flows



Pros & Cons

Pros: Strong free cash flow generation over 5 years signals healthy business fundamentals, Very high interest coverage ratio reflects negligible financial stress from debt servicing, Consistent dividend yield above 2% backed by positive free cash flow
Cons: Operating margins declining for 3 consecutive years suggest pricing or cost pressure, Dividend payout ratio above 100% means the company is paying dividends from reserves, which is unsustainable, Earnings per share declining for 3 consecutive years reflects deteriorating profitability

Capital Allocation Badge: Shareholder Returns